

Wednesday, November 19, 2025

**REPRESENTATIVES AT GENERAL MEETINGS
RECIPIENTS OF naamsa MEDIA RELEASES**

**RE: QUARTERLY REVIEW OF BUSINESS CONDITIONS: NEW MOTOR VEHICLE
MANUFACTURING INDUSTRY / AUTOMOTIVE SECTOR: 3RD QUARTER 2025**

Ladies and Gentlemen,

Attached is a copy of **naamsa's** quarterly review of business conditions for the South African motor vehicle manufacturing industry, during the third quarter of 2025, as submitted to the Director-General, Department of Trade, Industry and Competition [**the dtic**].

Industry vehicle sales, export, and import statistics for 2016 through 2024, together with current projections for 2025 and 2026, are reflected on the attachment to the submission.

KEY FEATURES: THIRD QUARTER 2025

- Third quarter aggregate industry employment as at 30th September 2025 totalled 32,115 reflecting a decrease of 311 jobs compared to the 32,426 industry head count as at the end of June 2025;
- Aggregate new vehicle sales during the third quarter 2025 recorded an increase of 19,6% compared to the corresponding quarter 2024 and an increase of 17,2% compared to the second quarter 2025;
- New energy vehicle [NEV] sales by 22 industry brands increased by 25,0% from 3,830 units in the third quarter 2024 to 4,787 units in the third quarter 2025;
- Average industry capacity utilisation levels during the third quarter 2025 reflect the impact of domestic market affordability dynamics, an uncertain export environment, and a low growth domestic economic environment, affecting the production volumes of the various vehicle manufacturers differently during the quarter;
- Aggregate capital expenditure by the major light vehicle manufacturers in 2024 amounted to R7,3 billion, linked to new generation model investments;

- South Africa's global vehicle production market share decreased from 0,67% in 2023 to 0,65% in 2024, although its global vehicle production ranking improved from 22nd to 21st in view of the poorer performance by Italy dropping below South Africa in 2024;
- Third quarter 2025 domestic vehicle production reflected an increase of 10,0% compared to the corresponding quarter 2024, elevated mainly by a 32,8% increase in LCV [bakkie] production;
- Vehicle exports increased by 15,0% in the third quarter 2025 compared to the corresponding quarter 2024 despite a further huge decrease in exports to North America; and
- The **naamsa** CEOs Confidence Index, as an in-house leading business confidence indicator of current and future developments in the domestic automotive industry, reflects the sentiment expressed by the **naamsa** CEOs for the third quarter 2025 compared to the third quarter 2024 as well as automotive business conditions and the country's economy in general for the next 6 months.

Wednesday, November 19, 2025

Mr. Simphiwe HAMILTON

Director-General

Department of Trade, Industry and Competition

Private Bag X84

PRETORIA

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**RE: QUARTERLY REVIEW OF BUSINESS CONDITIONS: NEW MOTOR VEHICLE
MANUFACTURING INDUSTRY / AUTOMOTIVE SECTOR: 3RD QUARTER 2025**

Dear Mr. HAMILTON,

naamsa would like to submit the following report on business conditions in the South African new motor vehicle manufacturing industry and the automotive sector during the third quarter of 2025.

1. EMPLOYMENT LEVELS AND TRENDS

The number of persons employed by the South African new vehicle manufacturing industry - comprising the major new vehicle manufacturers and specialist commercial vehicle and bus manufacturers - during the third quarter of 2025 may be set out as follows:

PERIOD	INDUSTRY TOTAL
Last pay week July 2025	32,113
Last pay week August 2025	32,073
Last pay week September 2025	32,115

Industry employment levels and trends reflect employees on the payroll of vehicle manufacturers. Aggregate industry employment as at 30th September 2025 totalled 32,115 reflecting a decrease of 311 jobs compared to the 32,426 industry head count as at the end of June 2025. It should be noted that Bell Equipment is also a **naamsa** member company employing 2,047 persons at the end of September 2025, however, since the company primarily manufactures heavy vehicles for off-road use, the company's employment figures are not included in the **naamsa** employment figures.

The average monthly vehicle manufacturing industry employment number for 2024 was 33,154 compared to the 33,509 in 2023. Employment in the vehicle manufacturing industry is generally linked to production and the decrease in employment in 2024 related to lower vehicle production volumes for the period under review.

Employment levels on the payroll of the independent vehicle importers, at their head offices and dedicated dealerships.

PERIOD	TOTAL
End of quarter 4, 2022	7,610
End of quarter 1, 2023	7,402
End of quarter 2, 2023	7,541
End of quarter 3, 2023	7,503
End of quarter 4, 2023	7,517
End of quarter 1, 2024	7,485
End of quarter 2, 2024	7,517
End of quarter 3, 2024	7,603
End of quarter 4, 2024	7,580
End of quarter 1, 2025	7,575
End of quarter 2, 2025	7,682
End of quarter 3, 2025	7,767

Aggregate independent vehicle importers employment as at 30th September 2025 totalled a head count of 7,767 reflecting an increase of 85 jobs, compared to the head count of 7,682 as at the end of June 2025. Capital expenditure reported on an annual basis by the independent vehicle importers, at their head offices and dedicated dealerships, amounted to R63,6 million in 2024.

PERIOD	TOTAL
2019	R62.6 mil
2020	R53.3 mil
2021	R32.5 mil
2022	R54.3 mil
2023	R43.3 mil
2024	R63,6 mil

The employment and capital expenditure data collection serves as important reference points, mainly to discern trends in the independent vehicle importers' landscape.

2. NUMBER OF SHIFTS

Various OEMs have returned to operations on a three-shift basis as well as multi-shifts in selected areas such as machining, press shops, paint shop operations and body shops in line with a recovery in vehicle production volumes post the pandemic as well as in supporting higher vehicle export volumes. During the quarter, two OEMs operated on a three-shift basis, one OEM on a combined single, double and three-shift basis, one OEM on a double shift, one OEM on a combined single-and double-shift basis, and two OEMs on a single-shift basis.

3. AVAILABILITY AND PRICE TRENDS OF COMPONENTS AND RAW MATERIALS

3.1. Imported components and raw materials

Despite improvements, port delays along with rail network instability and rail security challenges continued to affect the availability and price trends of imported components during the quarter. Prices of imported components and raw materials remained subject to exchange rate movements and the global price index.

3.2. Local components and raw materials

Although easing, port delays affected automotive component suppliers during the quarter, impacting on the availability and price trends of local components. It was reported that the AMSA long-steel plant reduced product availability during the quarter while prices of components containing rubber and lead increased during the quarter. Lower OEM vehicle production volumes also affected component manufacturers' economies of scale, challenging the recovery of fixed costs and amortised investments. Raw material pricing trends remain a function of exchange rate movements and the global price index.

4. UTILISATION OF PRODUCTION CAPACITY: 2021 - 2025 Q3

Average motor vehicle manufacturing industry capacity utilisation levels, by sector and for the years/quarters indicated, may be illustrated as follows:

	Year 2021	Year 2022	Year 2023	Year 2024	Q1 2025	Q2 2025	Q3 2025	Q3 2025 Range [High] [Low]	
Cars	73.5%	75.5%	92.8%	90.4%	88.9%	89.0%	83.9%	100%	69.0%
Light Commercial	58.3%	65.2%	77.9%	74.4%	72.8%	63.5%	75.1%	100%	33.3%
Medium Commercial	47.0%	69.1%	58.5%	39.4%	55.3%	31.4%	47.5%	100%	10.0%
Heavy Commercial	63.6%	83.8%	79.6%	81.1%	77.6%	79.5%	83.0%	100%	55.0%

Average industry capacity utilisation levels during the third quarter 2025 reflect the impact of domestic market affordability dynamics, an uncertain export environment, and a low growth domestic economic environment, affecting the production volumes of the various vehicle manufacturers differently during the quarter.

5. VEHICLE MANUFACTURING INDUSTRY CAPITAL EXPENDITURE: 2019 - 2024

naamsa reports the industry's aggregate capital expenditure on an annual basis. The aggregated data is based on capital expenditure details supplied by the major vehicle manufacturers. Details of actual industry capex for 2019 through 2024, in Rand millions, are as follows:

CAPITAL EXPENDITURE	2019	2020	2021	2022	2023	2024
Product/Local/Content/ Export Investment/ Production Facilities	6,705.8	7,296.2	4,910.8	6,443.9	4,393.3	6,685.5
Land and Buildings	234.5	1,558.1	3,641.4	203.8	215.3	312.2
Support Infrastructure [I.T., R&D, Technical, etc.]	334.0	377.4	248.5	464.6	561.6	300.2
TOTAL	7,274.3	9,231.7	8,800.7	7,112.3	5,170.2	7,297.9

Capital expenditure amounted to R7,3 billion in 2024 [excluding Mercedes-Benz SA]. The continued high levels in capital expenditure over recent years are due to investment projects by manufacturers in terms of the Automotive Production Development Programme [APDP] and APDP2, which are normally spread over multiple years and linked to new generation model investment cycles as well as higher levels of production for export markets. There has been an increasing trend in investments in hybrid and in particular plug-in hybrid models in the domestic market.

6. INDUSTRY TRANSFORMATION | DRIVING SA AUTOMOTIVE FUTURE

Over the past month, **naamsa** played a crucial role in two key industry events: the 2025 e-Mobility Summit and the New Energy Vehicle [NEV] Summit. These gatherings provided a platform for **naamsa** to articulate South Africa's strategic response to the profound transformation occurring within the automotive world. As global supply chains shift away from traditional internal combustion engine [ICE] platforms towards electrified software-defined and mineral-intensive mobility ecosystems, **naamsa** emphasised the urgent need for South Africa to position itself as a competitive and future-ready manufacturing hub.

Discussions at these summits centred on a fundamental truth: the shift to electrified mobility isn't just a technological change; it's a complete restructuring of global supply chains investment patterns and market access. The automotive sector is rapidly transforming what the world builds trades and values and South Africa needs to respond swiftly and coherently with industrial alignment.

A. From Linear Chains to Integrated Automotive Ecosystems

In its intervention, **naamsa** emphasised the evolution of global supply chains from long linear multi-tiered systems to integrated ecosystems spanning industries like mining, energy, electronics, software and logistics. EV manufacturing compresses traditional supplier tiers by merging mechanical engineering with digital technologies and battery cell chemistry.

South Africa sits at the crossroads of this shift, because:

- it possesses mineral richness critical for battery manufacturing;
- it hosts Africa's largest automotive cluster; and
- it maintains proven manufacturing competitiveness under the APDP2 framework.

However, without integrating mining, energy, manufacturing and technology into a single EV industrial ecosystem, the country risks being excluded from emerging global value chains. Therefore, **naamsa** emphasised the need for cross-sector industrial coordination, including the development of regional battery corridors and gigafactory-linked supplier parks.

B. Critical Minerals Become the New Competitive Frontier

The summits revealed a clear trend: the future of the automotive industry hinges on minerals. Lithium, nickel, manganese, graphite, cobalt and rare earth elements have supplanted engine components as the new competitive foundation.

naamsa utilised the platform to emphasise South Africa's and the wider SADC region's mineral wealth. It advocated for strategic frameworks that would ensure these mineral resources are harnessed locally for processing precursor production battery cell investment and component manufacturing rather than simply exporting raw materials.

The message was clear:

South Africa must move from being a supplier of minerals to being a supplier of mobility systems.

C. Software as the New Value Driver

The NEV Summit underscored that vehicle value is shifting from mechanical hardware to digital platforms, with EVs functioning as rolling computers. **naamsa** reinforced this insight, highlighting the need to build a South African mobility economy in which:

- software engineering;
- battery management systems;
- advanced electronics; and
- data-driven services form a growing share of local industrial output.

The next generation of OEM competitiveness will be defined by digital capabilities, not assembly-line capacity alone. To this end, **naamsa** emphasised investment in digital skills, robotics, AI-assisted manufacturing, and a national EV software engineering pipeline aligned with industrial needs.

D. Regionalised Supply Chains and Local Production Imperatives

Global events have reshaped OEM sourcing strategies. The Summit presentations showed that manufacturers are moving toward regionalised, risk-proofed supply chains, driven by:

- geopolitical tensions;
- shipping cost volatility;
- climate policy requirements; and
- government incentives such as the US IRA, CBAN and EU Green Deal.

At both summits, **naamsa** reinforced the strategic importance of localising EV production in South Africa, supported by APDP2 enhancements, targeted NEV incentives, and predictable industrial policy signalling. South Africa must remain a credible manufacturing base for African and global markets, particularly as export partners accelerate their own EV transitions.

The call to action was unambiguous:

Local production is not optional, it is the only route to safeguarding the country's automotive export competitiveness.

E. Towards a Circular, Low-Carbon Automotive Supply Chain

A major theme of the e-Mobility Summit was sustainability. EV supply chains demand transparent environmental footprints, ethical mineral sourcing, and circularity, especially in battery recycling, second-life applications, and carbon-tracked components.

naamsa advocated for South Africa to establish a national circular battery and component recycling framework, including partnerships with OEMs, chemical companies, logistics providers, and energy utilities. This would support:

- carbon-neutrally tracked supply chains;
- circular manufacturing parks;
- local battery recycling industries; and
- and compliance with emerging EU and UK battery regulations.

Circularity is not merely an ESG ambition - it is a market access requirement for future global trade. Conclusion: South Africa Must Act with Strategic Urgency

The NEV and e-Mobility Summits reinforced a historic inflection point. The automotive industry is shifting toward integrated mineral-to-mobility ecosystems, dominated by EV platforms, digital engineering, and circular manufacturing. At these platforms, **naamsa** positioned South Africa as a country ready to transition- provided that industrial policy, energy security, skills development, mineral beneficiation, and investment frameworks are aligned behind a common goal. South Africa has the minerals. It has the industrial legacy. It has the regional influence. It has the manufacturing expertise.

What it requires now is aligned, accelerated execution.

As **naamsa** conveyed over the past month: *The global market will not wait. Our responsiveness today determines our relevance tomorrow.*

7. BUSINESS CONDITIONS, PERFORMANCE INDICATORS AND COMMENT

Business Conditions: Third Quarter: 2025

2025 Third quarter aggregate industry new passenger car sales at 111,918 units recorded an increase of 21,447 units, or a gain of 23,7% compared to the 90,471 new passenger cars sold during the corresponding quarter of 2024. Aggregate industry commercial vehicle sales during the third quarter of 2025, at 46,207 units, recorded an increase of 4,483 units, or a gain of 10,7% compared to the 41,724 units sold during the third quarter of 2024.

Industry domestic sales growth: Direction and extent of change

[previous and corresponding quarter's percentage changes are reflected in brackets]

	Qtr. ended 30 September 2025 compared with <u>previous Qtr.</u> <u>ended 30 June 2025</u>		Qtr. ended 30 September 2025 compared with <u>corresponding Qtr.</u> <u>ended 30 September 2024</u>	
Passenger Cars	+18.7%	[-7.3%]	+23.7%	[+22.6%]
Light Commercial vehicles	+14.4%	[-6.0%]	+13.8%	[+8.1%]
Medium Commercial vehicles	+13.9%	[-6.0%]	+0.7%	[+16.2%]
Heavy Commercial vehicles	+13.8%	[+16.5%]	+33.0%	[+34.6%]
Extra Heavy Commercials	+5.9%	[+7.8%]	-14.2%	[-11.8%]
Buses	+77.7%	[+4.9%]	+40.0%	[-26.3%]

Aggregate new vehicle sales during the third quarter 2025 recorded an increase of 19,6% compared to the corresponding quarter 2024 and an increase of 17,2% compared to the second quarter 2025. The robust volume passenger car market has again been supported by a 30,5% increase in vehicle imports during the quarter compared to the corresponding quarter last year, comprising a 19,3% increase in imports by the seven OEMs and a 37,1% increase in imports by the independent importers. Two more Chinese brands started to report new vehicle sales during the quarter which enhanced the sales figures in the passenger car and bakkie segments. Of interest to note is that passenger car imports from China increased by 77,4% during the quarter compared to the corresponding quarter 2024 while bakkie imports from China increased by 135,4% over the same period. Commercial vehicle sales segments reflected a positive performance with moderate growth due to a recovery in road freight and business sentiment.

New energy vehicle [NEV] sales by 22 industry brands increased by 25,0% from 3,830 units in the third quarter 2024 to 4,787 units in the third quarter 2025, following a 10,8% increase during the second quarter 2025 compared to the second quarter 2024. For the full year 2024, NEV sales by 21 industry brands increased by 100,6% to 15,611 units compared to the 7,782 units in 2023 and comprised a notable 3,0% of the total new vehicle market in 2024 compared to 1,47% in 2023.

The following table reveals the diversity of drivetrain sales in the South African NEV landscape from 2020 through to 2025 Q3.

	Year 2020	Year 2021	Year 2022	Year 2023	Year 2024	Q3:2024	Q3:2025
Plug-in hybrid	77	51	122	368	738	176	996
Traditional hybrid	155	627	4,070	6,485	13,616	3,330	3,559
Electric	92	218	502	929	1,257	324	232
Total NEVs	324	896	4,694	7,782	15,611	3,830	4,787

It is recognised that fierce competition at present is actually between governments around the world to attract investments in the NEV space, and South Africa must act decisively to secure its place in the evolving automotive landscape. However, despite the urgency, the acceleration of the official mid-term review of the SAAM 2035, including the APDP2, which was scheduled for 2026 and requested by the domestic automotive industry to be brought forward to 2025, has not materialised yet. The SAAM 2035 objectives were developed in 2018 before the impact of the global COVID-19 pandemic as well as before the bans on fossil-fuelled ICE vehicles in the EU and UK were announced, which consequently resulted in the inevitable transition to NEVs in South Africa in order to safeguard the country's vehicle exports.

In the meantime, while government administrative procedures delay the NEV Road Map in the domestic market, other African countries have eclipsed South Africa with progressive automotive policies in the EV space. A case in point is the US\$5,6 billion [R100 billion] 20 GWh EV battery gigafactory to manufacture battery cells and components of which phase 1, amounting to US\$1,3 billion [R23 billion], is scheduled to commence in 2026. Morocco plans to scale up the production of 20 GWh annually to 100 GWh by attracting further investments.

The Moroccan government offers strong incentives to attract investment and enhance adoption, including tax breaks, reduced VAT, zero import duties on EV equipment, and subsidies for green electricity. It also plans to install 2,500 new public charging stations by 2026 to address infrastructure challenges. The country aims to produce 107,000 electric vehicles by the end of 2025. Morocco is heading for one million vehicle production in 2025 and consequently South Africa is at risk to lose its top vehicle production position in Africa in 2025, after 101 years of continental dominance.

Egypt, Kenya, Rwanda, Tunisia and Zimbabwe have also all adopted incentives to either incentivise local production of EVs or introduced incentives to stimulate demand in their domestic markets. While South Africa lost around 12 000 jobs in the component sector over recent years along with the closure of the Goodyear plant in the Eastern Cape after 78 years, Egypt and Kenya have attracted a US\$1 billion and US\$800 million tyre plants, respectively.

South African Automotive Industry's Performance in a Global Context: 2019 - 2024 production data: Following a sound year-on-year gain of 10,2% in 2023, global vehicle production consolidated in 2024, decreasing by 1,0% to reach 92,5 million vehicles, down from the 93,5 million units produced in 2023. Available first half of the year 2025 global vehicle production figures reflect a 3,3% increase compared to the corresponding quarter 2024. Global new vehicle sales reflected modest growth in 2024, increasing by 2,7% to 95,3 million units, up from 92,9 million units sold in 2023, supported by record EV sales, surging by 25,7% to 17,1 million units, up from 13,6 million units in 2023.

The following table reflects SA's share of global vehicle production for 2019 to 2024 [in millions].

	2019	2020	2021	2022	2023	2024	% change 2024 / 2023
Global Production	92.18	77.71	80.21	84.83	93.45	92.50	-1.0%
South Africa Production	0.63	0.45	0.50	0.56	0.63	0.60	-5.2%
SA Share: Global Production	0.69%	0.58%	0.62%	0.65%	0.67%	0.65%	-3.0%

South African vehicle production decreased by 5,2%, from 632,362 units in 2023 to 599,754 units in 2024, proportionally exceeding the global year-on-year decrease in global vehicle production of 1,0% in 2024. South Africa's global vehicle production market share thus decreased from 0,67% in 2023 to 0,65% in 2024, although its global vehicle production ranking improved from 22nd to 21st in view of the poorer performance by Italy dropping below South Africa in 2024.

In terms of global LCV production, the country was ranked 15th, with a market share of 1,05%. South Africa remained the dominant market on the African continent, and accounted for 599 754 vehicles, or 50,9% of the total African vehicle production of 1 177 400 vehicles in 2024.

Third quarter 2025 domestic vehicle production reflected an increase of 10,0% compared to the corresponding quarter 2024, elevated mainly by a 32,8% increase in LCV [bakkie] production, supported by a 55,2% increase in bakkie exports during the quarter compared to the corresponding quarter 2024. Domestic production of passenger cars was affected by a drop of 0,6% in domestic sales during the quarter compared to the corresponding quarter 2024 along with a reduction in exports by one OEM that depended for a large portion of its production volume on exports to the US market.

Production of passenger cars for sales in the domestic market remained under pressure due to the increasing influx of small and affordable vehicles from India and China. Light vehicle imports from India and China increased as a percentage of total light vehicle imports from 72,8% during the first nine months of 2024 to 77,9% during the first nine months of 2025.

The following table reflects South Africa's domestic vehicle production for 2019 to 2025 Q3.

	2020	2021	2022	2023	2024	2024 Q3	2025 Q3	% change Q3:2025/ Q3:2024
Passenger Cars	237,214	239,266	309,423	336,012	350,384	91,437	89,204	-2.4%
LCVs	185,691	232,166	215,472	262,646	217,562	53,439	70,952	+32.8%
MCVs	6,874	7,643	8,478	8,362	7,778	2,170	2,204	+1.6%
HCVs	4,208	5,151	6,269	5,719	5,653	1,440	1,907	+32.4%
XHCVs	11,484	14,175	15,498	18,841	17,382	4,932	4,461	-9.6%
Buses	745	685	745	782	995	253	355	+40.3%
TOTAL	446,216	449,086	555,885	632,362	599,754	153,671	169,083	+10.0%

South Africa had a vehicle parc [number of registered vehicles] of 13,36 million at the end of 2024, of which 7,95 million, or 59,5%, comprised passenger cars.

South Africa's automotive industry is export-oriented, relying heavily on trade agreements to sustain export volumes and competitiveness. The 390,844 left- and right-hand drive vehicles, comprising a massive 68,7% of light domestic vehicle production, were exported to 109 countries around the world in 2024.

The domestic automotive sector utilises the preferential access that South Africa has concluded over the past three decades, opening certain markets in Europe, the UK, and SADC, among others. Via the EPAs with the EU and the UK, the region dominated exports and accounted for a substantial 75,7%, or three out of every four vehicles exported in 2024, with 52,1% of light vehicle production destined for the region. Exports attract foreign revenue, attract investments in the domestic, create skilled jobs, and integrate domestic component suppliers into international value chains, amongst other.

The recent US imposed tariffs threaten to disrupt well-established trade flows and weaken the global competitiveness of South Africa's automotive manufacturing ecosystem. There is optimism that government negotiations for a trade deal with the US could reach an agreement but there is no clear timeframe. However, in futureproofing South Africa's vehicle production base to ensure that the country remains part of the global supply chain, it remains imperative to accelerate the implementation of NEV-friendly policies with flexibility to include alternative vehicle technologies in its policy framework, such as hybrids and plug-in hybrids, as well as demand-side support for consumers to stimulate NEV sales.

Industry export performance by major region - 2020 to 2025 Q3

	2020	2021	2022	2023	2024	Q3:2024	Q3:2025	% change Q3:2025/ Q3:2024
Europe	197,355	229,672	255,709	301,639	295,762	76,061	91,951	+20.9%
North America	9,463	7,981	21,684	20,910	25,554	6,986	1,002	-85.7%
Asia	29,440	24,170	35,154	35,015	29,265	7,681	5,674	-26.1%
Africa	17,127	21,994	22,769	25,596	25,916	6,502	11,522	+77.2%
Australasia	13,698	10,620	12,389	12,483	10,875	2,462	3,562	+44.7%
Central America	3,156	3,045	2,759	2,952	2,593	726	1,883	+159.4%
South America	1,188	706	1,527	1,214	879	184	133	-27.7%
TOTAL	271,427	298,188	351,991	399,809	390,844	100,602	115,727	+15.0%

Vehicle exports increased by 15,0% in the third quarter 2025 compared to the corresponding quarter 2024 despite a further huge decrease in exports to North America, in particular the US market following the imposition of Section 232 trade measures of 25% on vehicles and parts exported to the US on 3 April 2025.

South Africa's vehicle exports to the US previously enjoyed tariff-free access under AGOA and the sudden imposition of these duties significantly alters market access conditions. With the expiry of AGOA on 30 September 2025, the normal 2,5% import tariff on passenger cars into the US will now also be added to the 25% tariff. However, vehicle exports to the domestic automotive industry's top export region, the EU, reflected sound growth during the quarter along with rising exports to Africa and most other regions.

8. CONFIDENCE INDEX

The **naamsa** CEOs Confidence Index is an in-house leading business confidence indicator of current and future developments in the domestic automotive industry. The **naamsa** Confidence Index is built to enhance the quarterly reporting with opinions canvassed anonymously from each of the **naamsa** CEOs. The questions focus on views related to automotive business conditions in particular as well as the country's economy in general.

8.1. 3rd Quarter 2025 vs 3rd Quarter 2024

PERFORMANCE INDICATOR	UP	SAME	DOWN
Domestic new vehicle sales	56%	33%	11%
Vehicle export sales	25%	75%	0%
Vehicle production volumes	38%	38%	24%
Vehicle import volumes	78%	22%	0%
Employment - vehicle manufacturing	12%	63%	25%
Capacity utilisation	12%	62%	25%
Investment expenditure	22%	45%	33%
General new vehicle business conditions	56%	33%	11%

The sentiments expressed by the CEOs of **naamsa** during the third quarter of 2025 depicts a tale of improved business conditions and higher new vehicle sales supported by surging imports, but with little contribution to the industry's domestic production, employment, capacity utilisation and investment KPIs.

The low inflation environment continued during the quarter with the SARB lowering the repo rate by a further 25 basis points on July 31, 2025, the third cut in 2025, bringing the rate down to 7.00%. These interest cuts are intended to provide relief to consumers and businesses to stimulate the economy and the cumulative reduction of 125 basis points since September 2024 has supported vehicle affordability.

A disappointing aspect during the quarter was the failure by government to appoint a consultant to commence with the early review of the SAAM 2035 and the APDP2 to urgently align government policy with shifting global market dynamics. Despite improvements, domestic structural constraints continued to weigh on the country's economic performance during the quarter while international economic uncertainty continued. Light vehicle manufacturing CEOs, heavy commercial vehicle CEOs and Importer CEOs reflected mixed fortunes from their respective companies' perspectives during the quarter.

8.2. Next 6-months

PERFORMANCE INDICATOR	UP	SAME	DOWN
Domestic new vehicle sales	78%	11%	11%
Vehicle export sales	25%	63%	12%
Vehicle production volumes	63%	25%	12%
Vehicle import volumes	67%	33%	0%
Employment - vehicle manufacturing	38%	50%	12%
Capacity utilisation	38%	50%	12%
Investment expenditure	25%	63%	12%
General new vehicle business conditions	56%	44%	0%

The **naamsa** CEOs remained cautiously optimistic about an improved business environment over the next six months with four industry's key performance indicators envisaged to improve and four to remain stable. Despite an uncertain global trading environment, vehicle exports remained resilient for the year to date while the new vehicle market performed above expectations during the first nine months of 2025, mainly due to a surge in vehicle imports.

In its September 2025 Monetary Policy Meeting, the SARB has marked up its growth forecast for 2025 from 0,9% to 1,2% and also revised its GDP growth forecast for 2026 to 1,5% with analysts expecting further interest rate cuts in 2026 which would support the new vehicle market. Structural impediments to achieve consistently higher economic growth levels of 3% will remain as domestic challenges in the foreseeable future while the 2026 Local Government Elections could also cause further tensions in the GNU Coalition.

Globally, ongoing geopolitical challenges, the fragmentation of global supply chains and alliances, and the increasing impact of climate change related issues will need to be navigated carefully while the domestic automotive industry is transitioning to NEVs.

8.3. Brief Comment on business conditions and the medium-term outlook

The upward trend in the new vehicle market gained further momentum during the quarter with total industry new vehicle sales having hit a 10-year high and passenger car sales hitting an 11-year high in September 2025. A stronger rand, declining oil prices, a further 25-basis point interest rate cut, improving consumer confidence, favourable credit conditions and a steady recovery in disposable income have helped ease demand side pressures for consumers and businesses.

The surge in vehicle imports also accelerated during the quarter with more new Chinese brands entering the market and with more of these brands starting to report new vehicle sales into the **naamsa** new vehicle data system. With aggregate new vehicle sales now 15,7% ahead for the first nine months of the year compared to the corresponding period 2024, the new vehicle market is firmly set to exceed the pre-pandemic level of 2019 after five years.

However, in view of current global and domestic challenges, decisive action is required by government to safeguard the South African automotive industry in the ever-changing evolving automotive landscape and the review of the SAAM 2035 and the APDP2 along with a progressive automotive policy landscape remain imperative.

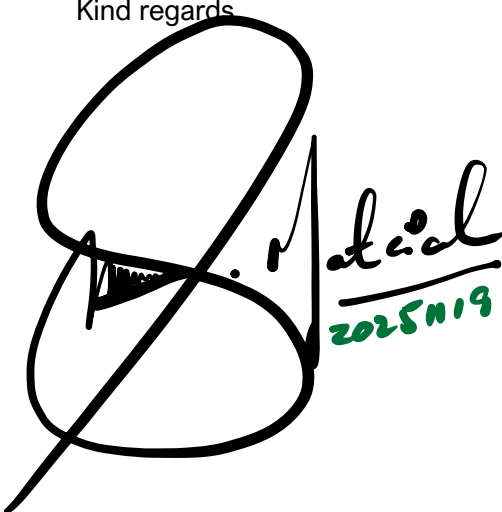
Vehicle exports showed resilience during the quarter on the back of higher exports to all regions, with the exception of North America since the US, as one of the domestic automotive industry's top export destinations, imposed punitive automotive tariffs on vehicle imports during the second quarter 2025. With global economic growth expected to remain at similar levels in 2026 as in 2025 and with recent and additional new models introductions in 2026 by major exporting OEMs in the country, vehicle exports are anticipated to remain strong over the medium term.

FUEL FOR THOUGHT FLASH

The trade balance under the APDP2 measurement reflected its second biggest trade surplus since 2013, at R42,8 billion in 2024 compared to R21,1 billion in 2023

The standard attached schedule reflects updated industry sales, production, export and import numbers. Projections include forecasts for 2025 and 2026.

Kind regards

A large, stylized handwritten signature in black ink, followed by a smaller signature and the date '2025/11/9' in green ink.

Mikel M. MABASA
Chief Executive Officer
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